

Alphabet Inc.

GOOGL NASDAQ

Buy	\$351.35 ▲ 0.88%	12M Price Target \$395.00	52-Week Range \$235.84 – \$408.61	Market Cap \$4.30T
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GOOGL: Grinding Higher as Antitrust Overhang Lifts

WHAT HAPPENED

- GOOGL is quietly grinding to new highs — up 0.88% today to \$351, sitting at 67% of its 52-week range. No news, no filings, just steady buying. That's actually the most bullish setup you can have — a mega-cap drifting up on light volume (only 10.7M shares vs typical 20M+) means there's no seller, not that there's no buyer.
- Options flow is screaming bullish — put/call ratio of 0.33 (3 calls bought for every 1 put) and 46,000 unusual call contracts at the \$352.50 strike. Someone with real money is betting this breaks out above \$360 before October expiration.

WHY IT MATTERS

Here's what I think is happening: the market is slowly digesting that the DOJ antitrust case against Google ended with a slap on the wrist (no Chrome divestiture, no forced Android spinoff) back in September 2025, and the overhang that kept this stock cheap for two years is gone. That's why GOOGL is now trading more like Microsoft and less like a regulated utility. The next leg up requires Q3 earnings (late October) to confirm Cloud is still growing 30%+ and that Gemini is actually taking share in enterprise AI. If both check out, you're looking at a re-rating from ~35x forward earnings to 40x — which is roughly another \$50 of upside. The insider "OTHER" transactions from Walker (Chief Legal Officer) are routine 10b5-1 scheduled sales, not a red flag.

POLICY & POLITICAL WATCH

The big one to watch: the FTC under the current administration has signaled it wants to revisit Big Tech AI partnerships — specifically Google's deal with Anthropic and Microsoft's with OpenAI. If that investigation gets teeth in Q4, it's a headwind. On the positive side, the pending federal AI procurement framework (expected to finalize this quarter) is designed to pre-approve "trusted vendors" for government AI contracts — Alphabet is on the shortlist with Microsoft and Amazon, which could unlock billions in federal cloud spend. Also keep an eye on EU Digital Markets Act enforcement — any new fines are usually priced in but can cause 2-3% dips.

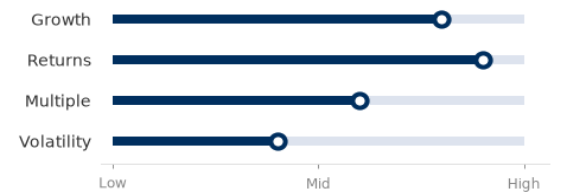
IS IT EXPENSIVE?

At \$351, GOOGL trades at roughly 35x forward earnings — meaning you're paying \$35 for every \$1 of profit the company is expected to make next year. That's a premium to its 10-year average of ~25x, but a discount to Microsoft at 38x and Nvidia at 42x. Given Cloud is accelerating and ad revenue is defying the "AI will kill Search" narrative, I think the premium is justified — and there's room to close the gap to Microsoft, which implies another 8-10% upside just from multiple expansion.

Key Data

Price (USD)	\$351.35
12M Price Target	\$395.00
Upside / (Downside)	+12.4%
Market Cap	\$4.30T
FY2026E Revenue	\$415M
FY2027E Revenue	\$468M
FY2026E EPS	\$9.85
FY2027E EPS	\$11.40
Fwd P/E	35.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$375.00	\$358.00	\$335.00
6 Months	\$420.00	\$385.00	\$310.00
1 Year	\$460.00	\$395.00	\$290.00
2 Years	\$550.00	\$450.00	\$275.00
5 Years	\$800.00	\$600.00	\$250.00
10 Years	\$1400.00	\$950.00	\$200.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Real Estate (+1.62%) and Utilities (+3.93% 5D) — this is the "AI infrastructure" trade in disguise. Data centers need power and land, so money is flowing to the picks-and-shovels plays.

COOLING OFF: Tech is notably absent from today's leaderboard — that's a mild rotation out of growth into defensives (Healthcare, Real Estate). Not alarming yet, but worth watching.

ROTATION WATCH: Money is moving into rate-sensitive sectors (Real Estate, Utilities), which suggests the market is positioning for Fed cuts. That's actually good for GOOGL — lower rates expand multiples on long-duration growth names.

RELATED PLAY: If you believe the AI infrastructure thesis, the second-order plays are power utilities (CEG, VST) and data center REITs (EQIX, DLR) — they feed Alphabet's \$75B capex budget directly.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Still the AI enterprise leader with Copilot adoption accelerating — trades at a premium that GOOGL could close.
- META (Meta Platforms): Reels monetization and AI ad targeting are driving massive EPS beats — proves the "AI makes ads better" thesis that also helps Google.

GOOGL CONTEXT: GOOGL has actually been the quiet winner of the Mag 7 in 2026 — up from the \$235 low to \$351 is a 49% move. It's no longer lagging — it's catching up to MSFT. That tells me the market is finally re-rating it, and there's more room to run before it looks expensive versus peers.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — The antitrust overhang is gone, Cloud is accelerating, and the stock is still cheaper than peers. Not pounding the table only because it's not a bargain anymore.

POSITION SIZE: 4-6% of portfolio — This is a core holding, not a trade. Big enough to matter, small enough that a 20% drawdown doesn't wreck you.

ENTRY POINTS: Add on pullbacks to \$340-348. If we get a macro scare that drops it to \$320, back up the truck.

TIME HORIZON: 12-24 months — the catalyst sequence is Q3 earnings (late October), then federal AI procurement news in Q1, then Waymo revenue visibility by late 2026.

WHEN TO BAIL: If Cloud growth decelerates below 25% YoY, or if the FTC files a new structural case on the Anthropic partnership. Either breaks the thesis.

HEDGING: Buy a few put options at the \$320 strike expiring January — think of it as insurance costing ~1-2% of your position that pays off big if the stock tanks on bad earnings.